

Ordinance of the City of Jersey City, N.J.

File No. Ord. 25-057
Agenda No. 3.3 (1st Reading)
Agenda No. 4.4 (2nd Reading and Final Passage)



ORDINANCE AMENDING AND SUPPLEMENTING CHAPTER 218 (MULTIPLE DWELLINGS), IF THE CODE OF ORDINANCES OF THE CITY OF JERSEY CITY BY ADDING NEW SECTION 12, ENTITLED “PREVENTING ALGORITHMIC RENT-FIXING IN THE RENTAL HOUSING MARKET”

COUNCIL AS A WHOLE offered and moved adoption of the following ordinance:

~~Whereas, Jersey City has seen an immense amount of development over the last two decades and has seen immense increases in property values;~~

Whereas, Jersey City is facing an affordability crisis with rents increasing dramatically annually and thousands of residents receiving eviction notices; and

Whereas, across the country, including in Jersey City, landlords are using software algorithms and other information exchanges between competitors to raise rents, artificially constrain supply, and further exacerbate the housing crisis; and

Whereas, corporations sell software or access to information exchanges that promises to boost landlord profits by 1) collecting sensitive data from landlords across regional housing markets and 2) processing sensitive data and public data to recommend rent increases and create artificial scarcity by leaving a certain percentage of housing units vacant; and

~~Whereas, the problem is exacerbated by a trend toward consolidation primarily in local rental housing markets, as more units wind up in the hands of large, institutional landlords and rental property managers; and~~

Whereas, access to affordable housing and fair and transparent rental housing prices is a critical issue for the residents of Jersey City; and

Whereas, by adopting Preventing Algorithmic Rent Fixing in the Rental Housing Market, the city can further its commitment to keeping Jersey City affordable and fair.

NOW, THEREFORE, BE IT ORDAINED BY THE CITY COUNCIL OF THE CITY OF JERSEY CITY THAT: that Chapter 218 (Fees and Charges) of the Municipal Code shall be amended by adding subsection 12 (Preventing Algorithmic Rent-Fixing in the Rental Housing Market) which reads as follows:

§218-12 Preventing Algorithmic Rent Fixing in the Rental Housing Market:

1.Definitions

a.The following terms, as used in this ordinance, shall have the following meanings:

i.“Coordinate” or “coordinating” mean, with respect to a service provider, collecting nonpublic competitor information from real estate lessors; and, ~~collecting of historical or contemporaneous prices, price changes, supply levels, occupancy rates, or lease or rental contract termination and renewal dates of residential dwelling units from two or more real estate lessors or from public databases;~~

APPROVED AS TO LEGAL FORM



Business Administrator



Corporation Counsel

Ordinance Amending and Supplementing Chapter 218 (Multiple Dwellings), if the Code of Ordinances of the City of Jersey City by Adding New Section 12, Entitled “Preventing Algorithmic Rent-Fixing in the Rental Housing Market”

1.analyzing or processing of the information described in subparagraph (1)(a)(i) using a system, software, or process that uses computation; and

2.Recommending to any other party rental prices, lease terms, or occupancy levels to a real estate lessorusing the information described in subparagraph (1)(a)(i).

a.This definition exempts owners of multiple properties for actions related exclusively to multiple properties controlled by the same rental property owner; and

3.Licensed Real Estate Agents are not included in this definition so long as they are operating in accordance with all applicable state regulations.

ii.“Person” means any natural person, corporation, partnership, limited liability company, firm, or association.

iii.“Residential dwelling unit” means any house, apartment, accessory unit, or other unit intended to be used as a person’s primary residence; and does not include inpatient medical care, licensed long-term care, and detention or correctional facilities.

iv.“Real estate lessor” means any individual, corporation, partnership, association, joint-stock company, trust, or unincorporated organization that owns real property and leases such property or any portion thereof in the form of a residential dwelling unit.

v.“Service provider” means any person that performs a coordination function, as defined in Section 1(a)(i)(1) of this Act, for any real estate lessor or rentor.

1.Licensed Real Estate Agents are not included in this definition so long as they are operating in accordance with all applicable state regulations.

vi.“Nonpublic Competitor Information” means information, including but not limited to prices, supply levels, security deposits, ideal occupancy levels, lease contract termination, renewal dates of residential dwelling units or any other material lease terms that is less than 365 days old and is not widely and readily available to the public at no cost.

2.Unlawful Conduct

a.It is unlawful for any real estate lessor, agent, or subcontractor thereof, to subscribe to, contract with, or otherwise exchange anything of value in return for the services of a Service Provider.

b.No service provider shall facilitate an agreement not to compete among real estate lessors with respect to any aspect of residential dwelling units, including rental pricing, fees, or any other rental terms.

3.Enforcement

a.Public Enforcement. The Attorney General or any municipal or county attorney may bring a civil action, as parens patriae, in any court of competent jurisdiction, to secure relief as provided in this section for injury sustained by natural persons to their property by reason of a violation of this chapter.

i.City administration: The Office of Landlord-Tenant Affairs and Office of Code Compliance will be empowered to enforce this section.

1.Persons (including residents) who have evidence that a landlord is using a service provider or is in any way violating the terms of this section report this to the Office of Landlord/Tenant Relations, which will compile said complaints.

2.The Office of Landlord/Tenant Relations is empowered to cooperate with the Office of Code Compliance to investigate such complaints or refer them for prosecution to the municipal prosecutor, Attorney General, or other appropriate law enforcement offices.

b.Private Right of Action. Any person who is injured by a violation of this chapter may sue in any court of competent jurisdiction in the county where the defendant resides or is found, or any agent of the defendant resides or is found, or where service may be obtained, without respect to the amount in controversy.

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c.Violations and Penalties:

i.A first violation of § 218-12 shall be punishable as provided in Chapter 1, General Provisions, Art. I, § 1-25. Subsequent violations shall be punished by a fine of not less than \$100 and up to \$2000, as provided in Chapter 1, General Provisions, Art. I, § 1-25. Each day during which an owner is in violation of § 218-12 shall constitute a separate violation hereunder.

d.Attorneys Fees and Costs. In the case of any successful action to enforce liability pursuant to this Act, the court shall award plaintiff the costs of the action together with reasonable attorney fees as determined by the court. Costs and attorney fees shall be awarded to the attorney general or a city, county, or district attorney in all actions where the attorney general or the city, county, or district attorney successfully enforces this article.

4.Severability. If any provision of this ordinance or application thereof to any person(s) or circumstances is judged invalid by a court of competent jurisdiction, the invalidity shall not affect other provisions or applications of the ordinance that can be given effect without the invalidated provision or application and to this end the provisions of this ordinance are declared severable.

§ 218-1213. - Exempt dwellings.
No changes

§ 218-1314. - Occupancy required.
No changes

§ 218-1415. - Extension of time period.
No Changes

§ 218-1516. - Violations and penalties
No Changes

§ 218-1617. - Conflicts with state law.
No Changes

§ 218-1718. - Findings.
No Changes

§ 218-1819. - Seating requirements.

All Amendments are ~~stricken out~~, underlined, and in *italics*

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RECORD OF COUNCIL VOTE ON INTRODUCTION – May 7 2025						
RIDLEY	AYE	SALEH	AYE	DEGISE	AYE	8-0
HULINGS	AYE	SOLOMON	AYE	RIVERA	AYE	
BOGGIANO	AYE	GILMORE	AYE	WATTERMAN, PRES	ABSENT	

RECORD OF COUNCIL VOTE TO CLOSE PUBLIC HEARING – May 21 2025						
RIDLEY	AYE	SALEH	AYE	DEGISE	AYE	9-0
HULINGS	AYE	SOLOMON	AYE	RIVERA	AYE	
BOGGIANO	AYE	GILMORE	AYE	WATTERMAN, PRES.	AYE	

SPEAKERS:

Ann M. Hill, Kaileen Perez, Joel Rothfus, Danielle Dadamo, Sarah Levine, Daniel Feldman, Mark Boyles, Noelle Brower, Wendy Paul, Kevin Weller, David Wilson, Bruce Shapiro, Shannon Rae, Eve Taylor, Suzanne DeFelice, Brendan Coughlin, Jessica Brann, Joe Tarrazi, Adrian Orozco, LaVerne Webb Washington, Shirin Vazir MacCormack & Michele Hirsch

RECORD OF COUNCIL VOTE ON AMENDMENTS, IF ANY – May 21 2025						
RIDLEY	AYE	SALEH	AYE	DEGISE	AYE	9-0
HULINGS	AYE	SOLOMON	AYE	RIVERA	AYE	
BOGGIANO	AYE	GILMORE	AYE	WATTERMAN, PRES.	AYE	

RECORD OF FINAL COUNCIL VOTE – May 21 2025						
RIDLEY	AYE	SALEH	AYE	DEGISE	AYE	9-0
HULINGS	AYE	SOLOMON	AYE	RIVERA	AYE	
BOGGIANO	AYE	GILMORE	AYE	WATTERMAN, PRES.	AYE	

Adopted on first reading of the Council of Jersey City, N.J. on **May 7 2025**
Adopted on second and final reading after hearing on **May 21 2025**

This is to certify that the foregoing Ordinance was adopted
by the Municipal Council at its meeting on May 21 2025



City Clerk



Joyce E. Watterman, President of Council
Approved: May 21 2025



Steven M. Fulop, Mayor
Date to Mayor: May 22 2025
Approved: May 22 2025

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FACT SHEET -

This summary sheet is to be attached to the front of any ordinance that is submitted for Council consideration. Incomplete or vague fact sheets will be returned with the ordinance.

Project Manager

James Solomon, Councilperson		201-547-5315	jsolomon@jcnj.org
Department	Municipal Council		
Division	Municipal Council		

Note: Project Manager must be available by phone during agenda meeting (Wednesday prior to council meeting @ 1:00 p.m.)

Meeting	Regular Meeting of Municipal Council - May 21 2025
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Purpose

Ordinance Amending Chapter 218 (Multiple Dwellings) creating Section 12, to prevent algorithmic rent-setting in Jersey City

Cost (Identify all sources and amounts)

N/A

Contract term (include all)

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Approved by
John Metro, Business Administrator

Status:
Approved - Apr 29 2025